Type MS · Percentage share of a total, including unemployment rate

Answer 1 of 9 · Question 4 part a · 2 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 4 · find part a in this mark scheme extract

	Answer	
4(a)	**AO2 2 marks** Award 1 mark for showing the calculation. 251,000 x 100 **(1)** 9,210,000 Award 1 mark for the correct answer. = 2.73% **(1)** Award 2 marks if the percentage change of 2.73% is accurately calculated with or without workings shown Award 1 mark if % is missing i.e. 2.73 with or without calculations shown Do not award marks for formula	**(2)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Percentage share of a total, including unemployment rate

Answer 1 of 9 · Question 4 part a · 2 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 4 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on exports for a country such as the Netherlands. Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Inflation is a sustained increase in the general price level in an economy • Figure 5 shows that inflation has steadily increased since January 2021 when it was 1.6% to 5.2% in November 2021 • This is a significant increase in the rate of inflation over a short period of time • Higher rates of inflation in the Netherlands could result in the rising price of its exports • This could result in lower demand for exports resulting in a negative impact on the current account • This could be the case if inflation rates are much lower in other countries compared to the Netherlands • Firms that export may struggle to survive with higher rates of inflation	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

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Type MS · Percentage share of a total, including unemployment rate

Answer 1 of 9 · Question 4 part a · 2 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 4 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the effectiveness of using pollution permits to protect the environment of a country such as the Netherlands. Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Business activity can damage the environment as it has done in Ijmuiden in the Netherlands causing poor air quality in the area from dust • Pollution permits can be used as a market based scheme aimed at reducing pollution and trying to encourage firms to reduce the quantity of pollution they create • Pollution permits involve giving firms such as Tata Steel a legal right to pollute up to a certain amount • If a steelworks produces less pollution/waste than it is permitted to do so it can sell its pollution permits to other steel manufacturers • Permits therefore create a financial incentive to pollute less because firms such as Tata Steel can then sell their excess permits to other firms • It can be a good way to reduce pollution, using the incentives of the market **AO4** • However, in practice, pollution permits can be difficult to implement • It is difficult to know how many permits to give out to firms in the Netherlands • If the government is too generous in the level of pollution permits it issues to firms such as Tata Steel, there will be little pollution reduction • If the government is too strict in the amount of pollution permits it issues to firms such as Tata Steel it may complain it adversely affects output because they cannot comply and because Tata Steel is a major employer and provides many jobs, unemployment may rise • There are alternatives to pollution permits which may be more effective such as fining the steelworks on the amount of waste produced or using taxation which could then be used to tackle air pollution caused by the steelworks • A combination of measures may be the most effective way to protect the environment	**(12)**

20

Type MS · Percentage share of a total, including unemployment rate

Answer 1 of 9 · Question 4 part a · 2 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

21

Type MS · Percentage share of a total, including unemployment rate

Answer 2 of 9 · Question 1 part e · 2 marks

2020 JAN · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 marks** **C** free trade	**(1)**

Question Number	Answer	Mark
1(b)	**AO1 1 mark** **B** Invisible trade	**(1)**

Question Number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to being willing and able and 1 mark for reference to unable to find employment People are willing and able to work/actively seeking work **(1)** but cannot find employment **(1)**. Accept any other appropriate responses.	**(2)**

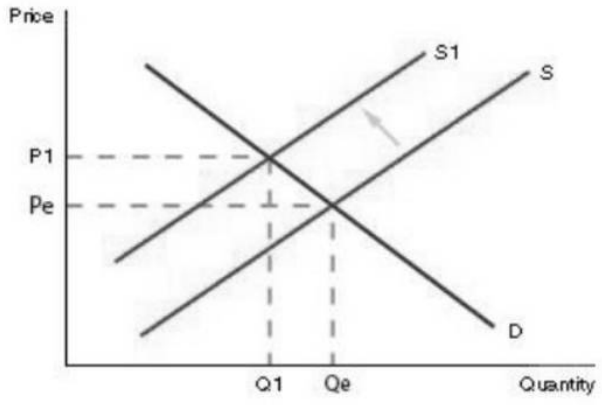
Question Number	Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to decision and 1 mark for reference to not being both achievable The choice between two objectives **(1)**, where for one objective to increase the other must decrease **(1)**. Accept any other appropriate responses.	**(2)**

Type MS · Percentage share of a total, including unemployment rate

Answer 2 of 9 · Question 1 part e · 2 marks

2020 JAN · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. $\frac{8 \text{ million}}{72 \text{ million}} \times 100$ **(1)** Award 1 mark for the correct answer. = 11.11% **(1)** Award 2 marks if the rate of unemployment is correctly calculated as 11.11%, with percentage sign, even if no calculations are shown. Award 1 mark if correct answer is shown, but with no percentage sign, even with or without calculations. Do not award marks for the formula.	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Percentage share of a total, including unemployment rate

Answer 2 of 9 · Question 1 part e · 2 marks

2020 JAN · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • If the quality of domestically produced goods is poor compared to imported foreign goods **(1)** then fewer consumers will buy these goods **(1).** Imports are likely to increase which contributes to the current account deficit of $5.082bn **(1)**. • If domestically produced goods are of poor quality **(1)** then there is less chance of exporting these goods to other countries **(1)**. Exports are likely to fall which contributes to the current account deficit of $5.082bn **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Percentage share of a total, including unemployment rate

Answer 2 of 9 · Question 1 part e · 2 marks

2020 JAN · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Subsidies are financial support from a government to lower the production costs of domestic firms • In this case, the Indian Government is providing a production subsidy of $725m to the farmers of sugar cane • Subsidies will lower the price of Indian produced sugar cane and increase sales • Financial support in the form of subsidies can help to protect local jobs • Subsidies can also help to encourage agricultural output of sugar cane by encouraging an increase in supply • Subsidies can help to improve competiveness against firms in other countries such as Australia that may not receive government assistance	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage share of a total, including unemployment rate

Answer 2 of 9 · Question 1 part e · 2 marks

2020 JAN · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Percentage share of a total, including unemployment rate

Answer 3 of 9 · Question 4 part a · 2 marks

2022 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage in spending on renewable energy in 2019 $\frac{\$200bn}{\$618bn}$ x 100 **(1)** = 32.36% **(1)** Award 2 marks if the percentage is accurately calculated as 32.36% even if no calculations are shown Award 1 mark if % is missing i.e. 32.36 with or without calculations shown No marks for formula	**(2)**

Type MS · Percentage share of a total, including unemployment rate

Answer 3 of 9 · Question 4 part a · 2 marks

2022 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Analyse the impact of rising unemployment rates on business confidence for a country such as India. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Unemployment is when those actively seeking work are unable to find a job • Figure 5 shows that unemployment has steadily risen from a low of 3.4% in July 2017 to 23.5% in April 2020 • This huge increase could reduce business confidence because unemployment is often linked to income and spending • As more people are reliant on unemployment benefits for their income, demand for many goods and services will fall which has a negative effect on firms • Firms require fewer workers to make goods and services which can increase unemployment further • Consumer confidence falls which in turn affects businesses which then become less confident about the future	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage share of a total, including unemployment rate

Answer 3 of 9 · Question 4 part a · 2 marks

2022 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Evaluate the effectiveness of spending on infrastructure to increase total output in an economy such as India. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Infrastructure spending is an example of a supply-side policy • The productive potential of the Indian economy may increase if the quality of its infrastructure is improved • The Indian Government is investing in a wide range of projects including renewable energy, airports, roads and the rail network • This may help to increase geographical mobility as well as improve the distribution of goods/services • In the short term, building or upgrading transport or energy networks can boost (aggregate) demand through increased construction activity and employment • Indian construction, road, cement and steel firms may require additional employees to complete the projects • In the long term, infrastructure investment can boost economic growth by attracting investment and increasing the potential supply capacity of an economy • The Indian economy slowed to a more than six-year low of 4.5% in 2019 so investing in infrastructure projects could help to boost output without the danger of inflation **AO4** • However, it can be argued that spending $1.5 trillion may not increase the total output in the Indian economy • It is unclear how the Indian Government's share of the $1.5 trillion will be funded • The Indian Government may have to borrow the additional finance adding to its fiscal deficit which is already set to increase to 3.7% in 2020 • There is an opportunity cost of these investments with no guarantee that total output will increase in the long term • These are very ambitious plans and many things can change in a 5-year period which could result in less output for the Indian economy • By nature, supply-side policies tend to take a very long time to work and infrastructure investments can be highly complex to manage • The overall impact on output will depend upon whether the approved list of projects can add to (aggregate) demand and (aggregate supply)	

Type MS · Percentage share of a total, including unemployment rate

Answer 3 of 9 · Question 4 part a · 2 marks

2022 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

	• The Indian Government should use a range of supply-side and fiscal policies to increase overall output	**(12)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage share of a total, including unemployment rate

Answer 3 of 9 · Question 4 part a · 2 marks

2022 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · Percentage share of a total, including unemployment rate

Answer 4 of 9 · Question 4 part a · 2 marks

2023 JAN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing the calculation 2,769,491 x 100 **(1)** 51,011,033 = 5.43% **(1)** Award 2 marks if the unemployment rate is accurately calculated as 5.43% even if no calculations are shown Award 1 mark if correct answer 5.43 is shown, but with no % sign, with or without calculations Do not award marks for the formula	**(2)**

Type MS · Percentage share of a total, including unemployment rate

Answer 4 of 9 · Question 4 part a · 2 marks

2023 JAN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Analyse the impact of increasing wages on inflation in Mexico. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An increase in wages of 15% will add to the cost of production for many firms in Mexico that currently pay the minimum wage to their workers • This could result in higher prices for goods/services made within Mexico if the 15% increase in wages is passed onto consumers in the form of higher prices • This could result in cost push inflation for Mexico from the 15% increase in the minimum wage • Increasing wages could also increase domestic consumption for goods/services • Increasing the minimum wage for nearly 11 million workers will result in these workers having 15% more income • This could be spent within the Mexican economy resulting in demand pull inflation if supply cannot keep up with demand	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage share of a total, including unemployment rate

Answer 4 of 9 · Question 4 part a · 2 marks

2023 JAN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the effectiveness of monetary policy in increasing total output in a country such as Mexico. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and money supply to affect the level of economic activity • Expansionary monetary policy aims to boost economic growth by lowering interest rates • Mexico's central bank has lowered interest rates from a high of 8.25% in July 2019 to 4.25% in September 2020 • This makes borrowing more attractive to firms and households as a lower rate of interest is charged on loans • Firms and consumers with existing or new loans and mortgages will also see a drop in interest payments and therefore will have more disposable income to spend • This may increase the demand for goods and services within the Mexican economy, thus helping to increase economic growth which has fallen by 9.3% **AO4** • However, not all economic growth is dependent upon interest rates • Other factors such as business and consumer confidence play a large role in the demand for goods and services • Often there is a time lag for a reduction in interest rates to feed through into the economy in terms of increased demand • Lower interest rates may increase demand for goods and services but can result in inflationary pressures • Mexico has seen inflation rates of 3.3% which could have been caused by the lowering of interest rates since July 2019 • The effectiveness may depend upon a range of factors within the Mexican economy • There are other ways to stimulate economic growth including fiscal and supply-side policies • Mexico should use a combination of policies rather than just focus on monetary policy to increase total output.	**(12)**

Type MS · Percentage share of a total, including unemployment rate

Answer 4 of 9 · Question 4 part a · 2 marks

2023 JAN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage share of a total, including unemployment rate

Answer 4 of 9 · Question 4 part a · 2 marks

2023 JAN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

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Type MS · Percentage share of a total, including unemployment rate

Answer 5 of 9 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The tax rate increases as income increases A is not correct because this does not describe a characteristic of progressive taxation B is not correct because this this does not describe a characteristic of progressive taxation/ is regressive D is not correct because progress taxation is not linked to GDP	**(1)**

Question Number	Which **one** of the following describes a fiscal surplus? **Answer**	Mark
1(b)	**AO1 1 marks** The only correct answer is: **D** Government revenue is greater than government expenditure A is not correct because this describes current account surplus B is not correct because this describes a current account deficit C is not correct because this describes a fiscal deficit	**(1)**

Question Number	What is meant by the term income inequality? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Differences in income **(1)** between different groups of earners **(1)** **OR** The unequal/uneven distribution of income **(1)** throughout an economy/a society **(1)** Accept any other appropriate response	**(2)**

Type MS · Percentage share of a total, including unemployment rate

Answer 5 of 9 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

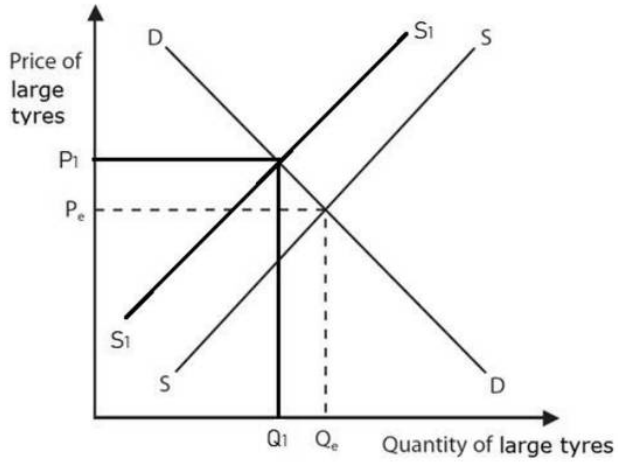
Question Number	Describe **one** role of the World Trade Organization (WTO). **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the role and 1 mark for development of the role It helps to settle trade disputes between countries **(1)** by acting as a mediator to find a solution **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation $\frac{(34 \text{ million} - 32 \text{ million})}{34 \text{ million}} \times 100$ **(1)** **OR** $\frac{2 \text{ million}}{34 \text{ million}} \times 100$ **(1)** Award 1 mark for the correct answer = 5.88% **(1)** Award 2 marks if the correct answer is 5.88% even if no calculations are shown Award 1 mark if the answer given is 5.88 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Percentage share of a total, including unemployment rate

Answer 5 of 9 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Percentage share of a total, including unemployment rate

Answer 5 of 9 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** advantage of free trade for businesses in Ecuador. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that businesses can access a wider market **(1).** Trade barriers will be removed for products such as bananas **(1)** which could help to increase total sales and revenue **(1)** • One advantage is that there could be lower input costs **(1).** Trade barriers will be removed for imports from China **(1)** which could help businesses to sell goods for lower prices in the domestic market **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of high rates of inflation on consumer confidence in a country such as Germany. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumer confidence is an economic indicator that gauges consumers' perception of the economy • High rates of inflation could reduce confidence in Germany • Inflation reduces purchasing power and a rate of 10.4% will result in many consumers experiencing a reduction in living standards • This is because they cannot afford to purchase the same amount of goods and services • Consumer confidence will fall and may make them more cautious and less willing to borrow money • Savings may increase to safeguard against the future • High rates of inflation can cause uncertainty for many consumers making it difficult to plan ahead if prices are rising so much	**(6)**

Type MS · Percentage share of a total, including unemployment rate

Answer 5 of 9 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage share of a total, including unemployment rate

Answer 5 of 9 · Question 1 part e · 2 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	What is the main reason for a government to devalue its currency? **Answer**	Mark

Type MS · Percentage share of a total, including unemployment rate

Answer 6 of 9 · Question 4 part a · 2 marks

2023 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing the calculation 3,063,500 x 100 **(1)** 19,700,000 Award 1 mark for the correct answer = 15.55% **(1)** Award 2 marks if the correct answer is 15.55% even if no calculations are shown Award 1 mark if the answer given is 15.55 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Percentage share of a total, including unemployment rate

Answer 6 of 9 · Question 4 part a · 2 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the possible disadvantages of the Kazakhstan Government privatising the national railway company. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Privatisation involves selling state-owned assets to the private sector • Often privatisation forces the new private companies to be efficient or at least find ways of reducing costs in order to make a profit • The most popular way of cutting costs is to reduce the size of the workforce • This would result in many railway workers losing their jobs and see an increase in the number of people unemployed in Kazakhstan • KTZ is the largest employer in Kazakhstan so privatising the railway could have a huge impact on unemployment levels in the country • KTZ's operations are already profitable therefore any future profits would be given to shareholders rather than go to the government • This might result in lower levels of investment and higher prices for railway users	**(6)**

Type MS · Percentage share of a total, including unemployment rate

Answer 6 of 9 · Question 4 part a · 2 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage share of a total, including unemployment rate

Answer 6 of 9 · Question 4 part a · 2 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the advantages of an increase in foreign direct investment (FDI) for a country such as Kazakhstan. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • FDI is investment in one country that is made by a business, organisation or a government from another country • In 2022, Kazakhstan has received $22.1bn from countries such as the Netherlands, the US and Switzerland • Jobs may be created in Kazakhstan by the foreign firms requiring local workers for building new factories or employing workers in manufacturing or retail firms • Local firms may benefit from supplying the foreign firms with equipment or raw materials used in the production of goods and services • Often MNCs pay higher wages than local firms and help to train the local workforce with new skills and technology • Taxation from the foreign firms could be used to fund public services within the country • There could be an increase in GDP which could result in an increase in the overall of standard of living in Kazakhstan from increased FDI **AO4** • However, the advantages may come with some potential problems • Often foreign MNCs are only interested in accessing natural resources and to take advantage of lower wages • Kazakhstan has lots of oil and gas therefore this could result in damage to the environment by foreign MNCs during the extracting and mining processes • The cost of cleaning up the damage caused to the environment from mining could be left for the Kazakhstan Government • There is no guarantee that wages paid by foreign firms will be higher and working conditions may be poor • Foreign MNCs may bring their own workforce and management rather than training local workers with little opportunity for developing skills • Some MNCs might only spend a brief period of time in Kazakhstan before moving on to other countries • The overall advantages will depend upon how foreign MNCs behave in the economy	**(12)**

Type MS · Percentage share of a total, including unemployment rate

Answer 6 of 9 · Question 4 part a · 2 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage share of a total, including unemployment rate

Answer 6 of 9 · Question 4 part a · 2 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

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Type MS · Percentage share of a total, including unemployment rate

Answer 7 of 9 · Question 4 part a · 2 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

	Answer	
4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage of the population employed on small cocoa farms $\frac{867,000}{34,532,935}$ x 100 **(1)** = 2.51% **(1)** Award 2 marks if the correct answer is 2.51% even if no calculations are shown Award 1 mark if the answer given is 2.51 even if no calculations are shown No marks for formula	**(2)**

Type MS · Percentage share of a total, including unemployment rate

Answer 7 of 9 · Question 4 part a · 2 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how spending on road infrastructure could benefit a country such as Ghana. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The new 67km highway improves trade by making it cheaper and quicker to move goods around Ghana and to neighbouring countries • Building the 31.2km section of the highway creates jobs for people directly in construction and indirectly in other areas like road maintenance and services • The highway helps bring different parts of Ghana closer together, making it easier for people and firms in different regions to work together • Better roads mean people and firms can travel more easily, saving time and money and leading to a better standard of living • Local firms in areas connected by the highway can reach more customers and grow, boosting the local economy • Investing in roads is good for the country's long-term growth, making it easier for businesses to operate and helping Ghana's economy be more competitive	**(6)**

Type MS · Percentage share of a total, including unemployment rate

Answer 7 of 9 · Question 4 part a · 2 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage share of a total, including unemployment rate

Answer 7 of 9 · Question 4 part a · 2 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the possible benefits of globalisation for cocoa farmers in Ghana. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Globalisation allows cocoa farmers to sell to a broader market, potentially getting better prices for their cocoa • Higher demand from international markets can lead to increased revenues for farmers and a higher standard of living • Exposure to global markets can lead to better farming techniques and tools, improving output and quality • Globalisation can attract investment in cocoa farming infrastructure and processing facilities in Ghana • Cocoa farmers can learn new farming methods and business practices from international partners • Access to global markets might encourage farmers to grow different crops or invest in different areas, reducing the risk of having just one crop **AO4** • However, prices in global markets can fluctuate wildly based on international demand which can make income unpredictable for cocoa farmers • With a focus on exporting cocoa due to global demand, the country might become too dependent on one crop, risking economic instability if cocoa prices fall or if the crop fails • Cocoa farmers might be exploited by large corporations, receiving only a tiny fraction of the final product's value • This leads to the situation highlighted by Oxfam, where the majority of cocoa farmers live in poverty despite their hard work • Global markets often demand high-quality products, which might be challenging for some farmers to meet consistently without adequate support or investment • Cocoa farmers must compete not just with local but international cocoa producers, which can be challenging, especially for smaller or less technologically advanced farms • Benefits of globalisation might not be evenly distributed, leading to greater economic differences within communities	**(12)**

Type MS · Percentage share of a total, including unemployment rate

Answer 7 of 9 · Question 4 part a · 2 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Percentage share of a total, including unemployment rate

Answer 7 of 9 · Question 4 part a · 2 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

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Type MS · Percentage share of a total, including unemployment rate

Answer 8 of 9 · Question 3 part b · 1 mark

2025 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

	Answer	
3(a)	**AO1 1 mark** The only correct answer is: **B** They reduce overall pollution by setting emission limits A is not correct because pollution permits are designed to cap emissions at a certain level C is not correct because firms must adhere to the limits set by pollution permits or face penalties D is not correct because pollution permits encourage the use of clean energy to reduce the need for permits	**(1)**

Question Number	An economy has a national output of €300bn and its current account deficit is €15bn. What is the current account deficit as a percentage of national output? **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **C** 5% A is not correct because this is €15bn/€300bn B is not correct because this is €300bn - €15bn/100 D is not correct because this is €300bn/€15bn	**(1)**

Question Number	Explain **one** reason why some people might suffer from structural unemployment in a country such as China. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is having the wrong skills **(1).** Young graduates have skills for higher skilled jobs rather than lower skilled jobs **(1)** therefore they cannot find jobs that match their qualifications **(1)** Accept any other appropriate response	**(3)**

Type MS · Percentage share of a total, including unemployment rate

Answer 8 of 9 · Question 3 part b · 1 mark

2025 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on menu costs for small firms in the UK. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • With inflation at 4%, the cost of inputs such as raw materials, labour and energy is likely to increase for small firms • To maintain margins, these firms might need to pass these costs onto consumers, necessitating regular price updates and thereby increasing menu costs • With inflation rising, firms may need to adjust their prices more frequently to keep up with increasing costs for raw materials, labour and other expenses • This means more frequent updates to menus, price lists and advertising materials leading to higher menu costs • This can be particularly challenging for small firms with limited resources	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage share of a total, including unemployment rate

Answer 8 of 9 · Question 3 part b · 1 mark

2025 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether lower income tax rates will encourage more people to work in a country such as Italy. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Reducing income tax rates to 23% and 33% may motivate people to work additional hours or seek better-paying jobs, knowing they will keep more of their income • More favourable tax conditions might encourage those not currently working, including young people, to enter the workforce • With less income going to taxes, individuals might be willing to work more hours or take on additional jobs, increasing overall labour supply • Lower taxes might attract skilled workers from abroad boosting productivity and innovation in the Italian workforce • As firms benefit from individuals having more disposable income and potentially investing, this can lead to job creation, further encouraging employment **AO4** • However, reducing taxes might lead to a significant loss in government revenue, affecting public services and investment • Less tax revenue could mean cuts to crucial public services like healthcare, education or infrastructure affecting the quality of life for the citizens of Italy • The higher rate of income tax remains at 43% meaning those with the highest incomes may not feel incentivised to work harder • While there might be immediate boosts to the economy, the long-term effects of reduced government revenue could lead to economic challenges • Other factors like job availability, wages, working conditions and childcare may have a more substantial impact on employment decisions than tax rate changes	**(9)**

Type MS · Percentage share of a total, including unemployment rate

Answer 8 of 9 · Question 3 part b · 1 mark

2025 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Percentage share of a total, including unemployment rate

Answer 8 of 9 · Question 3 part b · 1 mark

2025 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage decrease** in the number of single-use plastic bags sold in the UK between 2021 and 2023. You are advised to show your working. **Answer**	Mark

Type MS · Percentage share of a total, including unemployment rate

Answer 9 of 9 · Question 1 part e · 2 marks

2025 NOV · Paper 02 · extract 1 of 8 · find part e in this mark scheme extract

1(a)	**AO11 mark** The only correct answer is: **C** A decrease in the general price level of goods and services over time A is not correct because this describes inflation B is not correct because rapid economic growth is associated with economic expansion, not deflation D is not correct because this describes a recession	**(1)**

Question Number	Which **one** of the following is an example of a supply-side policy? **Answer**	**Mark**
1(b)	**AO11 mark** The only correct answer is: **A** Investing in education and training B is not correct because this is an example of monetary policy C is not correct because this is an example of fiscal policy D is not correct because this is an example of a monetary policy	**(1)**

Type MS · Percentage share of a total, including unemployment rate

Answer 9 of 9 · Question 1 part e · 2 marks

2025 NOV · Paper 02 · extract 2 of 8 · find part e in this mark scheme extract

Question Number	What is meant by the term demand-pull inflation? Answer	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition Inflation caused by too much demand in the economy **(1)** relative to supply **(1)** **OR** Inflation caused by too much demand in the economy **(1)** causing a rise in the general price level **(1)** Accept any other appropriate response	**(2)**

Question Number	Describe **one** advantage of privatisation for a consumer. Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for a consumer and 1 mark for development of an advantage for a consumer One advantage is better-quality goods/services **(1).** Private companies often work harder to improve what they offer because they want to attract more consumers **(1)** Accept any other appropriate response	**(2)**

Type MS · Percentage share of a total, including unemployment rate

Answer 9 of 9 · Question 1 part e · 2 marks

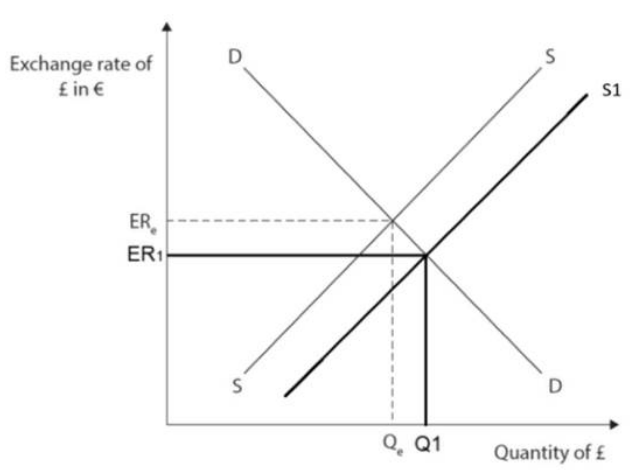
2025 NOV · Paper 02 · extract 3 of 8 · find part e in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation $\frac{550{,}000}{4{,}300{,}000} \times 100$ **(1)** Award 1 mark for the correct answer = 12.79% **(1)** Award 2 marks if the correct answer 12.79% is shown even if no calculations are shown Award 1 mark if the answer given is 12.79 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Percentage share of a total, including unemployment rate

Answer 9 of 9 · Question 1 part e · 2 marks

2025 NOV · Paper 02 · extract 4 of 8 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw the likely effect of an increase in imports from Europe on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of supply curve, labelled Award 1 mark for lower equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Type MS · Percentage share of a total, including unemployment rate

Answer 9 of 9 · Question 1 part e · 2 marks

2025 NOV · Paper 02 · extract 5 of 8 · find part e in this mark scheme extract

Question Number	Explain **one** advantage of free trade for a business in a country such as Iceland. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is lower input costs **(1).** Without tariffs or trade barriers, a business can source raw materials/components more cheaply from other countries **(1)** reducing production costs/increasing profitability **(1)** • One advantage is wider markets for a business **(1).** By removing trade barriers, a business can sell their products and services to more consumers **(1)** increasing their sales/potential for growth **(1)** Accept any other appropriate response	**(3)**

Type MS · Percentage share of a total, including unemployment rate

Answer 9 of 9 · Question 1 part e · 2 marks

2025 NOV · Paper 02 · extract 6 of 8 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the advantages of deregulation for a country such as South Korea. **Indicative content**
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Deregulation encourages an environment where firms can experiment and innovate without being hindered by strict rules • Deregulation can lead to increased economic activity, as industries like AI and biotechnology expand • The creation of a regulation-free zone in South Korea can attract investment from AI and biotechnology firms which can lead to the creation of new jobs and economic expansion • By supporting AI and biotechnology firms, South Korea can diversify its economy and increase employment opportunities across various skill levels • South Korea can benefit from reduced unemployment rates and improved living standards for its citizens • This growth can contribute to a higher GDP, boosting the overall economic performance of South Korea

Type MS · Percentage share of a total, including unemployment rate

Answer 9 of 9 · Question 1 part e · 2 marks

2025 NOV · Paper 02 · extract 7 of 8 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Percentage share of a total, including unemployment rate

Answer 9 of 9 · Question 1 part e · 2 marks

2025 NOV · Paper 02 · extract 8 of 8 · find part e in this mark scheme extract

Question Number	Which **one** of the following describes a trade bloc? **Answer**	Mark